

FRVO

FRVO N/A

Buy	\$36.57 ▲ 7.84%	12M Price Target \$48.00	52-Week Range \$32.39 – \$42.65	Market Cap \$10.75B
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FRVO: Reiterate Buy; Geothermal Scale-Up Thesis Intact Post-Bounce

WHAT'S CHANGED

- FRVO snapped a one-day -4.2% decline with a +7.84% reversal on 1.88M shares (highest volume in 5 sessions), recovering above \$36 and reclaiming mid-range positioning at 41% of 52-wk range.
- No SEC filings or company-specific news overnight; move appears driven by continued positive sentiment from June 8 bullish initiations and follow-through buying on the broader "geothermal scale-up" thematic flagged in WSJ/Barron's coverage.

IMPLICATIONS

The sharp reversal absent a fresh catalyst suggests FRVO is trading as a thematic vehicle for AI-power demand and clean baseload exposure, with bullish sell-side initiations from June 8 still anchoring the bid. Importantly, FRVO outperformed despite Energy ETF weakness (-1.31% 1D, -6.21% 5D), signaling investors are bucketing the name with data-center power infrastructure rather than commodity-linked energy. This decoupling is thesis-confirming and supports a continued premium multiple as long as Cape Station execution milestones and hyperscaler PPA flow remain on track.

VALUATION

At \$10.75B market cap on ~\$285M FY26E revenue, FRVO trades at ~38x EV/Revenue FY26 and ~20x FY27, a sharp premium to renewable IPP peers (NextEra, Ormat at 4-6x) reflecting scarcity value as the only pure-play enhanced geothermal scale-up. Our \$48 PT implies ~31% upside and assumes ~25x FY27E revenue, justified by 90%+ growth trajectory and binary optionality on EGS cost curve. Multiple contraction risk if Cape Station capex overruns surface in 2H26 prints.

KEY RISKS

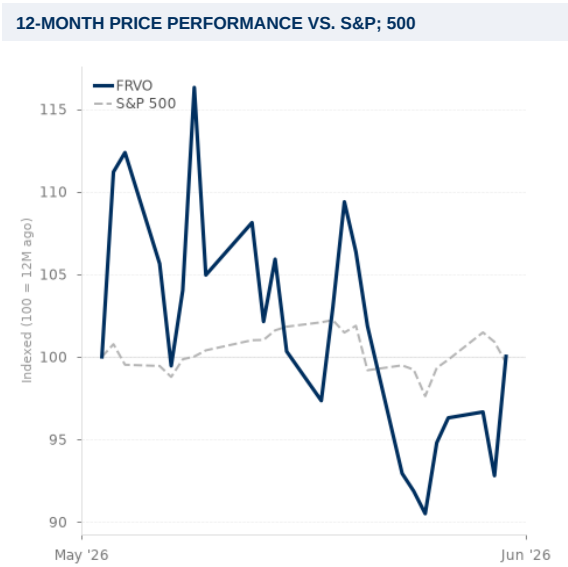
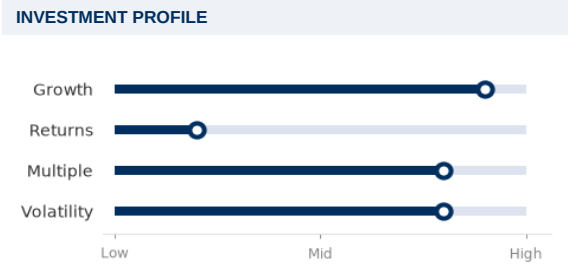
- Execution risk on Cape Station Phase II drilling — subsurface variability could pressure unit economics and delay 2027 COD milestones.
- Hyperscaler PPA concentration: Google/Meta offtake dominates revenue mix; any contract renegotiation materially impairs visibility.
- Rate sensitivity — long-duration cash flow profile vulnerable to a hawkish Fed pivot; Utilities ETF -1.50% 1D signals early warning.

RECENT NEWS

Lyft upgraded, Leidos downgraded: Wall Street's top analyst calls The Fly · 2026-06-17 13:47

Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up Investing.com · 2026-06-08 18:01

Key Data	
Price (USD)	\$36.57
12M Price Target	\$48.00
Upside / (Downside)	+31.3%
Market Cap	\$10.75B
FY2026E Revenue	\$285M
FY2027E Revenue	\$540M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$41.00	\$38.00	\$33.00
6 Months	\$50.00	\$44.00	\$32.00
1 Year	\$62.00	\$48.00	\$28.00
2 Years	\$85.00	\$60.00	\$24.00
5 Years	\$150.00	\$95.00	\$20.00
10 Years	\$280.00	\$160.00	\$15.00

SECTOR INTELLIGENCE

HOT SECTORS: Industrials (+5.87% 5D), Technology (+5.00% 5D)

COLD SECTORS: Energy (-6.21% 5D), Utilities (+0.87% 5D laggard)

ROTATION WATCH: Capital is rotating from commodity Energy into Industrial/Tech-adjacent power infrastructure plays as AI data-center buildout dominates the narrative; FRVO benefits from this re-bucketing despite nominal Energy classification.

BYPRODUCT PLAY: Drilling services (NBR, PTEN) and high-temperature downhole equipment suppliers benefit from EGS scale-up CAPEX flow; specialty steel/casing names also see incremental demand.

OUTPERFORMERS & PEER CONTEXT

- ORA (Ormat Technologies): Established geothermal incumbent benefiting from sector halo; profitable comp anchor for FRVO valuation framework.
- VST (Vistra): Data-center power thematic leader with hyperscaler PPA momentum providing template for FRVO re-rating.

FRVO CONTEXT: FRVO is decisively pulling away from the broader Energy complex (+7.84% today vs -1.31% XLE) and tracking the AI-power cohort instead. Relative strength confirms the market views FRVO as infrastructure/growth, not commodity energy — a critical multiple-support dynamic.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$33-35 on pullbacks toward 52-wk low

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delays >6 months or PPA cancellation by hyperscaler offtaker

Hedging: Short basket of utility-scale solar developers or pair vs XLU